

KENYA COMMERCIAL BANK GROUP
UN-AUDITED RESULTS FOR THE PERIOD ENDED 30 JUNE 2012

	GROUP				BANK			
	30-Jun-11	31-Dec-11	31-Mar-12	30-Jun-12	30-Jun-11	31-Dec-11	31-Mar-12	30-Jun-12
	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
	Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Audited	Un-Audited	Un-Audited
I BALANCE SHEET								
1 ASSETS								
1.1 Cash (both Local & Foreign)	11,221,819	15,697,286	14,283,594	11,949,335	7,039,497	8,582,793	7,061,282	5,386,544
1.2 Balances due from Central Bank of Kenya	6,645,299	11,555,840	15,297,803	17,211,657	6,645,299	11,555,840	15,297,803	17,211,657
1.3 Kenya Government securities	37,714,299	34,023,364	42,966,107	48,837,454	37,714,299	34,023,362	42,966,107	48,837,454
1.4 Foreign Currency Treasury Bills & Bonds	2,414,056	2,408,833	4,445,589	2,565,680	-	-	-	-
1.5 Deposits and balances due from local banking institutions	1,910,000	7,874,875	1,200,000	2,000,000	1,910,000	7,874,875	1,200,000	2,000,000
1.6 Deposits and balances due from banking institutions abroad	19,387,191	33,392,099	30,526,679	37,583,074	2,117,229	9,774,005	4,765,147	9,145,926
1.7 Kenya Government and other securities held for dealing purposes	415,366	367,938	1,730,167	1,271,394	415,366	367,938	1,730,167	1,271,394
1.8 Tax recoverable	345,751	20,557	10,923	11,117	334,151	9,418	-	-
1.9 Loans and advances to customers (net)	175,204,072	198,724,919	195,323,377	202,067,619	159,539,609	179,843,987	175,904,820	180,872,209
1.10 Investment securities	7,476,940	9,204,501	10,128,971	10,720,708	7,476,940	9,204,501	10,128,971	10,720,708
1.11 Balances due from group companies	-	-	-	-	-	-	-	-
1.12 Investments in associates	-	-	-	-	125	125	125	125
1.13 Investments in subsidiary companies	-	-	-	-	8,623,612	8,624,404	8,675,122	9,348,461
1.14 Investments in joint ventures	-	-	-	-	-	-	-	-
1.15 Investment properties	-	-	-	-	-	-	-	-
1.16 Property and equipment	8,734,597	8,017,595	8,121,195	8,223,659	6,124,413	5,624,766	5,660,834	5,452,221
1.17 Prepaid lease rentals	144,894	147,801	147,645	144,671	142,628	142,818	142,612	142,405
1.18 Intangible assets	1,189,969	1,516,684	1,344,954	1,335,019	1,145,162	1,476,594	1,322,636	1,295,779
1.19 Deferred tax asset	1,126,284	1,055,476	1,054,110	1,254,640	855,115	606,328	606,328	813,951
1.20 Retirement benefit asset	-	-	-	-	-	-	-	-
1.21 Other assets	5,785,524	6,708,391	7,767,364	4,099,666	4,736,389	4,781,799	6,935,490	3,079,271
1.22 TOTAL ASSETS	279,716,061	330,716,159	334,348,478	349,275,693	244,819,834	282,493,553	282,397,444	295,578,105
2 LIABILITIES								
2.1 Balances due to Central Bank of Kenya	6,880,000	-	-	-	6,880,000	-	-	-
2.2 Customer deposits	215,737,886	259,308,849	259,985,324	278,544,999	176,604,713	210,173,514	209,290,711	222,829,739
2.3 Deposits and balances due to local banking institutions	368,000	9,359,286	8,889,726	5,817,949	368,000	9,359,286	8,889,726	5,817,949
2.4 Deposits and balances due to foreign banking institutions	12,725,784	4,745,863	2,901,673	5,279,947	11,642,437	2,143,285	1,504,078	2,968,202
2.5 Other money market deposits	-	-	-	-	-	-	-	-
2.6 Borrowed funds	-	8,525,000	8,719,230	8,430,000	-	8,525,000	8,305,000	8,430,000
2.7 Balances due to group companies	-	-	-	-	6,278,242	5,519,607	1,552,105	5,981,710
2.8 Tax payable	42,268	119,372	954,030	447,510	-	-	784,930	336,481
2.9 Dividends payable	-	-	-	-	-	-	-	-
2.10 Deferred tax liability	121	-	-	-	-	-	-	-
2.11 Retirement benefit liability	-	-	-	-	-	-	-	-
2.12 Other liabilities	5,526,895	4,292,762	5,411,427	4,327,760	3,139,580	1,610,203	3,869,503	2,306,466
2.13 TOTAL LIABILITIES	241,280,954	286,351,132	286,861,410	302,848,165	204,912,972	237,330,895	234,196,053	248,670,547
3 SHAREHOLDERS' FUNDS								
3.1 Paid up /Assigned capital	2,950,260	2,968,746	2,968,746	2,968,746	2,950,260	2,968,746	2,968,746	2,968,746
3.2 Share premium	18,565,504	18,891,221	18,891,221	18,891,221	18,565,504	18,891,221	18,891,221	18,891,221
3.3 Revaluation reserves	(1,237,180)	(2,574,793)	(1,879,300)	(1,106,126)	(849,652)	(1,983,146)	(1,039,333)	(345,664)
3.4 Retained earnings	18,010,894	17,721,580	20,148,128	23,807,594	19,181,322	18,276,521	20,371,441	23,876,119
3.5 Statutory loan reserves	145,629	1,866,093	1,866,093	1,866,093	59,428	1,517,136	1,517,136	1,517,136
3.6 Proposed dividends	-	5,492,180	5,492,180	-	-	5,492,180	5,492,180	-
3.7 Capital grants	-	-	-	-	-	-	-	-
3.8 TOTAL SHAREHOLDERS' FUNDS	36,435,107	44,365,027	47,487,068	46,427,528	39,906,862	45,162,658	48,201,391	46,907,558
3.10 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	279,716,061	330,716,159	334,348,478	349,275,693	244,819,834	282,493,553	282,397,444	295,578,105

II PROFIT AND LOSS ACCOUNT

	GROUP				BANK			
	30-Jun-11	31-Dec-11	31-Mar-12	30-Jun-12	30-Jun-11	31-Dec-11	31-Mar-12	30-Jun-12
	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
	Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Audited	Un-Audited	Un-Audited
4 INTEREST INCOME								
4.1 Loans and advances	9,711,628	23,612,698	8,466,888	16,805,886	8,768,811	21,293,264	7,747,013	15,250,708
4.2 Government securities	1,921,245	3,742,965	1,417,033	3,350,161	1,830,556	3,516,523	1,323,165	3,159,375
4.3 Deposits and placements with banking institutions	146,867	546,986	150,630	450,491	60,000	371,521	116,644	346,336
4.4 Other interest income	-	-	-	-	-	-	-	-
4.5 Total interest income	11,779,740	27,902,649	10,034,551	20,606,538	10,659,367	25,181,308	9,186,822	18,756,419
5 INTEREST EXPENSE								
5.1 Customer deposits	1,040,743	3,821,853	2,771,430	5,712,996	785,915	3,308,614	2,541,620	5,170,275
5.2 Deposits and placement from banking institutions	206,471	794,388	326,988	583,601	180,274	595,932	269,701	498,707
5.3 Other interest expenses	-	-	-	-	-	-	-	-
5.4 Total interest expenses	1,247,214	4,616,241	3,098,418	6,296,597	966,189	3,904,546	2,811,321	5,668,982
5.5 NET INTEREST INCOME	10,532,526	23,286,408	6,936,133	14,309,941	9,693,178	21,276,762	6,375,501	13,087,437
6 OTHER OPERATING INCOME								
6.1 Fees and commissions on loans and advances	1,840,771	4,203,626	1,651,427	2,865,991	1,729,106	3,739,588	1,037,723	1,985,416
6.2 Other fees and commissions	2,397,331	4,981,222	745,510	1,766,197	1,588,555	3,236,032	680,082	1,361,086
6.3 Foreign exchange trading income	1,359,204	3,607,836	824,732	1,907,569	769,580	1,940,587	419,018	972,077
6.4 Dividend income	10,410	26,157	20	478	10,410	26,157	20	478
6.5 Other income	733,059	3,203,833	356,386	1,049,912	687,737	3,152,133	354,830	1,032,406
6.6 Total non-interest income	6,340,775	16,022,674	3,578,075	7,590,147	4,785,368	12,094,497	2,491,673	5,351,463
6.7 TOTAL OPERATING INCOME	16,873,301	39,309,082	10,514,208	21,900,088	14,478,566	33,371,259	8,867,174	18,438,900
7 OPERATING EXPENSES								
7.1 Loan loss provision	840,138	1,896,082	758,871	1,447,268	670,251	1,471,868	619,036	1,200,037
7.2 Staff costs	5,393,593	10,883,679	3,499,312	5,969,962	4,638,734	9,222,469	3,068,440	4,998,036
7.3 Directors' emoluments	89,499	145,592	52,543	98,955	64,505	106,224	42,702	68,981
7.4 Rental charges	431,118	1,024,329	213,443	534,166	134,845	276,472	77,789	158,525
7.5 Depreciation charge on property and equipment	742,805	1,672,850	421,319	841,416	548,789	1,166,348	312,422	621,060
7.6 Amortisation charges	211,065	497,685	132,689	273,630	207,730	488,098	132,689	263,559
7.7 Other operating expenses	3,426,265	8,059,491	2,043,004	4,230,883	2,794,784	6,557,914	1,621,353	3,252,932
7.8 Total operating expenses	11,134,483	24,179,708	7,121,181	13,396,280	9,059,638	19,289,393	5,874,431	10,563,130
7.9 Profit before tax and exceptional items	5,738,818	15,129,374	3,393,027	8,503,808	5,418,928	14,081,866	2,992,743	7,875,770
7.10 Exceptional items	-	-	-	-	-	-	-	-
7.11 Profit after exceptional items	5,738,818	15,129,374	3,393,027	8,503,808	5,418,928	14,081,866	2,992,743	7,875,770
7.12 Current tax	(1,681,102)	(4,083,979)	(965,113)	(2,616,958)	(1,625,678)	(3,994,742)	(897,823)	(2,483,793)
7.13 Deferred tax	-	(64,349)	(1,366)	199,164	-	(248,787)	-	207,623
7.15 Profit after tax and exceptional items	4,057,716	10,981,046	2,426,548	6,086,014	3,793,250	9,838,337	2,094,920	5,599,600
8 EARNINGS PER SHARE- BASIC KSHS	2.75	3.72	3.27	4.10	2.57	3.33	2.82	3.77
9 DIVIDEND PER SHARE - PROPOSED KSHS		1.85				1.85		

III OTHER DISCLOSURES		GROUP				BANK			
		30-Jun-11	31-Dec-11	31-Mar-12	30-Jun-12	30-Jun-11	31-Dec-11	31-Mar-12	30-Jun-12
		Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
		Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Audited	Un-Audited	Un-Audited
10 NON-PERFORMING LOANS AND ADVANCES									
10.1	(a) Gross Non-performing loans and advances	14,981,335	12,228,264	12,548,968	13,140,556	13,301,048	10,414,948	10,812,598	11,428,338
10.2	(b) Less Interest in Suspense	1,780,783	1,225,595	1,260,397	1,625,010	1,693,933	1,072,173	1,184,738	1,514,094
10.3	(c)Total Non-Performing Loans and Advances (a-b)	13,200,552	11,002,669	11,288,571	11,515,546	11,607,115	9,342,775	9,627,860	9,914,244
10.4	(d) Less Loan Loss Provision	7,051,437	5,240,564	5,507,872	6,515,385	6,420,772	4,651,885	4,711,183	5,656,106
10.5	(e) Net Non-Performing Loans and Advances(c-d)	6,149,115	5,762,105	5,780,699	5,000,161	5,186,343	4,690,890	4,916,677	4,258,138
10.6	(f) Discounted Value of Securities	6,149,115	5,762,105	5,780,699	5,000,161	5,186,343	4,690,890	4,916,677	4,258,138
10.7	(g) Net NPLs Exposure (e-f)	-	-	-	-	-	-	-	-
11 INSIDER LOANS AND ADVANCES									
11.1	(a) Directors, Shareholders and Associates	5,231,288	4,560,582	4,698,846	1,781,401	5,229,861	4,543,292	4,698,276	1,694,438
11.2	(b) Employees	5,790,249	6,590,406	6,493,759	6,386,797	5,625,853	5,893,725	5,866,470	6,102,116
11.3	(c)Total Insider Loans and Advances and other facilities	11,021,537	11,150,988	11,192,605	8,168,198	10,855,714	10,437,017	10,564,746	7,796,554
12 OFF-BALANCE SHEET ITEMS									
12.1	(a)Letters of credit,guarantees, acceptances	78,059,707	87,424,335	86,487,675	93,054,286	76,067,503	84,557,085	84,799,632	91,988,192
12.2	(b)Other contingent liabilities	40,878,093	36,446,990	40,198,099	33,174,540	40,659,095	35,328,220	40,081,279	32,912,033
12.3	(c)Total Contingent Liabilities	118,937,800	123,871,325	126,685,774	126,228,826	116,726,598	119,885,305	124,880,911	124,900,225
13 CAPITAL STRENGTH									
13.1	(a)Core capital					31,575,495	38,402,909	39,399,651	34,986,471
13.2	(b) Minimum Statutory Capital					500,000	700,000	700,000	700,000
13.3	(c)Excess (a-b)					31,075,495	37,702,909	38,699,651	34,286,471
13.4	(d) Supplementary Capital					59,428	1,517,136	1,517,136	1,517,136
13.5	(e) Total Capital (a+d)					31,634,923	39,920,045	40,916,787	36,503,607
13.6	(f)Total risk weighted assets					189,563,890	192,939,432	190,510,913	190,337,233
13.7	(g) Core Capital/Total deposits Liabilities					17.9%	18.3%	18.8%	15.7%
13.8	(h) Minimum statutory Ratio					8%	8%	8%	8%
13.9	(l) Excess					9.9%	10.3%	10.8%	7.7%
13.10	(j) Core Capital / total risk weighted assets					16.6%	19.9%	20.7%	18.4%
13.11	(k) Minimum Statutory Ratio					8%	8%	8%	8%
13.12	(l) Excess (j-k)					8.6%	11.9%	12.7%	10.4%
13.13	(m) Total Capital/total risk weighted assets					16.7%	20.7%	21.5%	19.2%
13.14	(n) Minimum statutory Ratio					12%	12%	12%	12%
13.15	(o) Excess (m-n)					4.7%	8.7%	9.5%	7.2%
14 LIQUIDITY									
14.1	(a) Liquidity Ratio					20.7%	31.3%	33.5%	34.9%
14.2	(b) Minimum Statutory Ratio					20.0%	20.0%	20.0%	20.0%
14.3	(c) Excess (a-b)					0.7%	11.3%	13.5%	14.9%

INTERIM DIVIDEND
The Directors do not recommend payment of interim dividend.

MESSAGE FROM THE DIRECTORS
The above are extracts of financial statements and records of the Bank and Subsidiaries.

M L Oduor-Otieno - Chief Executive Musa Ndeto- Chairman

KENYA COMMERCIAL BANK LTD
CONSOLIDATED STATEMENT OF CASHFLOWS
FOR THE PERIOD ENDED 30TH JUNE 2012

(a) CASH FLOWS FROM OPERATING ACTIVITIES

This has been derived as follows:-

Profit before tax	8,503,808	5,738,818
Adjustments for:		
Depreciation of property and equipment	841,416	742,805
Amortisation of prepaid operating lease rentals	156	-
Amortisation of intangible assets	273,630	211,065
Profit on disposal of property and equipment	-	12,770
Cash reserve ratio	2,333,477	(1,871,209)
Available for sale investments	121,275	426,400
Held to maturity investments	(14,962,147)	(96,852)
Loans and advances	(3,342,700)	(27,090,708)
Other assets	2,608,725	(783,235)
Other customer deposits	19,236,150	18,763,235
Other liabilities	34,998	2,492,900

NET CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES

Tax recovered	-	-
Tax paid	(2,279,380)	(3,811,298)
	(2,279,380)	(3,811,298)

INVESTING ACTIVITIES

Proceeds from disposal of property and equipment	-	5,140
Purchase of intangible assets	(91,965)	(32,649)
Purchase of property and equipment	(1,047,480)	(1,223,665)
Operating lease rentals	2,974	999
Net cash flows used in investing activities	(1,136,471)	(1,250,175)

FINANCING ACTIVITIES

Dividends paid	(5,492,180)	(3,687,825)
Borrowing	(95,000)	-
Net cash flows from /(used in) financing activities	(5,587,180)	(3,687,825)

INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS

	6,645,757	(10,203,309)
Effect of exchange rate changes on opening net inv in foreign entities	(168,815)	(387,528)

CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD

	41,931,416	25,130,742
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CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD

	48,408,358	14,539,905
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KENYA COMMERCIAL BANK LTD
STATEMENT OF CASHFLOWS OF THE BANK
FOR THE PERIOD ENDED 30TH JUNE 2012

	30-Jun-12 KShs'000 Un-Audited	30-Jun-11 KShs'000 Un-Audited
(a) CASH FLOWS FROM OPERATING ACTIVITIES		
This has been derived as follows:-		
Profit before tax	7,875,770	5,418,928
Adjustments for:		
Depreciation of property and equipment	621,060	548,789
Amortisation of prepaid operating lease rentals	263,559	1,016
Amortisation of intangible assets	132,689	207,730
Profit on disposal of property and equipment	-	(1,842)
Cash reserve ratio	2,918,272	(946,109)
Available for sale investments	121,275	(648,608)
Held to maturity investments	(14,814,092)	(982,198)
Loans and advances	(1,028,222)	(22,195,041)
Balances due to group companies	462,103	1,640,190
Other assets	1,702,528	(550,608)
Other customer deposits	12,656,225	13,416,032
Other liabilities	696,263	1,375,848
NET CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES	11,607,430	(2,715,873)
Tax recovered	-	-
Tax paid	(2,137,896)	(3,710,174)
	(2,137,896)	(3,710,174)
INVESTING ACTIVITIES		
Proceeds from disposal of property and equipment	-	6,354
Purchase of intangible assets	48,126	(33,525)
Purchase of property and equipment	(448,515)	(789,429)
Investment in subsidiary companies	(724,057)	(1,854,114)
Operating lease rentals	(263,146)	-
Net cash flows used in investing activities	(1,387,592)	(2,670,714)
FINANCING ACTIVITIES		
Dividends paid	(5,492,180)	(3,687,825)
Borrowings	(95,000)	-
Net cash flows from /(used in) financing activities	(5,587,180)	(3,687,825)
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS	2,494,762	(12,784,586)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD	15,097,040	6,754,730
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	17,591,802	(6,029,856)

KENYA COMMERCIAL BANK GROUP									
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE 2012									
	Share Capital Ksh' 000	Share Premium Ksh' 000	Regulatory Reserve Ksh' 000	Translation Reserve Ksh' 000	Available for sale reserve Ksh' 000	Proposed Dividend Ksh' 000	Retained Earnings Ksh' 000	Total Ksh' 000	
At 1 January 2011	2,950,260	18,565,504	145,629	(397,981)	225,356	3,687,825	13,953,178	39,129,771	
Dividend paid-2010	-	-	-	-	-	(3,687,825)	-	(3,687,825)	
Profit as at 30 June 2011	-	-	-	-	-	-	4,057,716	4,057,716	
Other comprehensive income	-	-	-	10,453	(1,075,008)	-	-	(1,064,555)	
At 30 June 2011	2,950,260	18,565,504	145,629	(387,528)	(849,652)	-	18,010,894	38,435,107	
At 1 January 2012	2,968,746	18,891,221	1,866,093	(591,647)	(1,983,146)	5,492,180	17,721,580	44,365,027	
Dividend paid-2011	-	-	-	-	-	(5,492,180)	-	(5,492,180)	
Profit as at 30 June 2012	-	-	-	-	-	-	6,086,014	6,086,014	
Other comprehensive income	-	-	-	(168,815)	1,637,482	-	-	1,468,667	
At 30 June 2012	2,968,746	18,891,221	1,866,093	(760,462)	(345,664)	-	23,807,594	46,427,528	

KENYA COMMERCIAL BANK GROUP									
STATEMENT OF CHANGES IN EQUITY OF THE BANK FOR THE PERIOD ENDED 30 JUNE 2012									
	Share Capital Ksh' 000	Share Premium Ksh' 000	Regulatory Reserve Ksh' 000	Available for sale reserve Ksh' 000	Proposed Dividend Ksh' 000	Retained Earnings Ksh' 000	Total Ksh' 000		
At 1 January 2011	2,950,260	18,565,504	59,428	225,356	3,687,825	15,388,072	40,876,445		
Dividend paid-2010	-	-	-	-	(3,687,825)	-	(3,687,825)		
Profit as at 30 June 2011	-	-	-	-	-	3,793,250	3,793,250		
Other comprehensive income	-	-	-	(1,075,008)	-	-	(1,075,008)		
At 30 June 2011	2,950,260	18,565,504	59,428	(849,652)	-	19,181,322	39,906,862		
At 1 January 2012	2,968,746	18,891,221	1,517,136	(1,983,146)	5,492,180	18,276,521	45,162,658		
Dividend paid-2011	-	-	-	-	(5,492,180)	-	(5,492,180)		
Profit as at 30 June 2012	-	-	-	-	-	5,599,598	5,599,598		
Other comprehensive income	-	-	-	1,637,482	-	-	1,637,482		
At 30 June 2012	2,968,746	18,891,221	1,517,136	(345,664)	-	23,876,119	46,907,558		